

35 TIER #2: LONG-TERM INCOME INVESTMENTS

There are six major types of long-term investments which I will briefly describe one at a time.

MUNICIPAL BONDS: These are bonds issued by a particular municipality, such as the cities of Denver, Atlanta, or Chicago. The primary selling point is that most or all of the income from municipal bonds is exempt from federal income taxes and is not normally subject to state income tax in the state where they are issued.

The liabilities of municipal bonds are: (1) they have low yields; (2) they normally require a large initial investment; and (3) they are illiquid, meaning that if you have to sell them, you will normally do so at a loss. I would grade these as follows: income about 5, risk about a 7-8. With the exception of buying some municipals for diversification, most people are better off with a government bond as opposed to a municipal bond.

MORTGAGES: A mortgage is a contract where you lend to buy a home or other real property, and you hold the first mortgage rights to it.

I have an attorney friend who specializes in the resale of first mortgages. In other words, someone who has financed a first mortgage resells it to get his money out. These are normally discounted by the seller to yield from 3-5 percent above the prevailing interest rates at the time. So if current interest rates on CDs are 7 percent, you could earn 10-12 percent through a first mortgage. If a borrower fails to pay, you can foreclose on the property. The liabilities of this kind of investment are: (1) they are hard to find—it's usually necessary to know a local attorney or a banker who will handle them; (2) the return on your investment is 100 percent taxable as ordinary income; (3) there is no growth on your principal unless interest rates drop, in which case your mortgage might be worth more; and (4) your money will be tied up for a long period of time, up to 15-20 years.

I would grade first mortgages as an income of 8, no growth,